COURSE

# Pearson Edexcel GCSE (9-1) in Business (1BS0)

# Price

**Theme 2: Building a business · Topic 2.2 Making marketing decisions · 2.2.2 Price**

Revision for Theme 2: Building a business: each firm works it out on its own deals.

Class **Pearson Edexcel GCSE Business (1BS0)** Topic **Price**

THE LESSON

| | |
|---|---|
| **Setup** | 3 min |

**Round 1** — Decisions 3 min · Deals 5 min · Topic tasks 4 min

| | | | |
|---|---|---|---|
| **Firm decisions** | **Deals** | **Topic task 1** | **Topic task 2** |

**Round 2** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | **Topic task 3** | **Topic task 4** | **B2B deal** |

**Round 3** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | **Topic task 5** | **Topic task 6** | **B2B deal** |

| | |
|---|---|
| **Final questions** | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

What do you keep?

**Margin, as % of the price?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| You pay per car | **£10,200** |
| Customer pays per car | **£12,000** |

METHOD

**Margin % = (customer pays – you pay) ÷ customer pays × 100**

(£12,000 – £10,200) ÷ £12,000 = 15%

**Why:** You keep 15p of every £1 the customer pays.

## Task 2

ROUND 1

You set a low price on a new model to win buyers fast.

**Which two are the main risks?**

PICK TWO

- ○ A higher profit per car
- ✔ **A low margin on each car**
- ✔ **Buyers may leave when it rises**
- ○ Fewer buyers at the start
- ○ Rivals can never match it

**Why:** A low price earns little per car, and buyers drawn by price may not stay.

## Task 3

ROUND 2

Three cars: what you pay for each, and its price.

**Order by margin %, highest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Pay £7,000, price £10,000**
2. **Pay £9,000, price £12,000**
3. **Pay £14,000, price £17,500**

**Why:** Margins 30%, 25%, 20%: the biggest profit in pounds has the lowest margin.

## Task 4

ROUND 2

Price to hit your target.

**Price with the 25% margin?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| You pay per car | **£7,200** |
| Prep per car | **£300** |
| Target margin on the price | **25%** |

METHOD

**Price = (you pay + prep) ÷ (100% – target margin)**

(£7,200 + £300) ÷ 75% = £10,000

**Why:** A 25% margin is a 33% mark-up on cost.

## Task 5

ROUND 3

You get a rare new model that no rival in town sells.

**Which launch price should you set, and why?**

PICK A OR B AND GIVE A REASON

- ✔ **A high price at launch**
- ○ A low price at launch

**Why:** No rival and a rare model: buyers will pay more at first, so skim.

## Task 6

ROUND 3

They want a discount.

**Profit on the 3 cars?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| List price per car | **£17,000** |
| Fleet discount | **10%** |
| You pay per car | **£12,000** |

METHOD

**Profit = cars × (list price – discount – you pay)**

3 × (£17,000 – 10% – £12,000) = £9,900

**Why:** The 10% discount costs £5,100 of profit on the deal.

# Final questions

**6**
questions for each pupil

**150**
Level 2 Business questions

**8**
of them on price

**The game draws 6 of the 150 Level 2 questions; these 8 are about price.**

1 A rival makes a large price cut. What is the strongest first response?
**Weigh costs and customer needs before acting.**

2 A parts retailer prices one popular item below cost to attract customers who may buy profitable extras. Which pricing method is this?
**Loss leader.**

3 A new car-care app enters a competitive market with a low introductory subscription price to attract users quickly. Which pricing method is this?
**Penetration pricing.**

4 A firm launches a unique diagnostic device at a high price before rivals offer an equivalent. Which pricing method is this?
**Price skimming.**

5 A tyre retailer sets prices after comparing several nearby rivals selling the same brands. Which method is most evident?
**Competitive pricing.**

6 What does cost-plus pricing involve?
**Adding a mark-up to the cost.**

7 A close rival adds a two-year warranty. What should a dealer do before responding?
**Research whether customers value it, and costs.**

# Final questions

8 The Sales lead considers lowering a price. Which evidence should be used together?

**Demand, rivals' prices, unit costs and the desired position.**